BRIGHT HERMOSA BUILDERS INC.	Document No.	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	SUPPLIER EVALUATION	

OBJECTIVE	To ensure supplier consistently supplies safety, quality, timely delivery and cost-efficient materials and meet the satisfactory of the management on the installed materials on-site. To ensure that the supplier's processes and services are constantly improved.
SCOPE	The procedure covers the evaluation of the suppliers to identify if we can continue our orders to the supplier.

Responsibility	Activities		Documents
Procurement	Review Supplier's Record	Note 1	*Quality Issues and Concerns* *Supplier's DR/OR/SI* *Material Quality Report* *Delivery Time (Lead Time)*
Warehouseman/ Quality Control	Evaluate Supplier	Note 2	*[F-SEVAL-001] Supplier Evaluation Form*
DD Manager	Review and Approve Evaluation		*[F-SEVAL-001] Supplier Evaluation Form*
DD Director	Recommendation for the result of Evaluation		*[F-SEVAL-001] Supplier Evaluation Form* *Recommendation Letter*
Procurement	Discuss Evaluation Results With the Supplier	Note 3	*[F-SEVAL-001] Supplier Evaluation Form* *Recommendation Letter*

NOTE 1: [Review Supplier's Records]

1. The frequency and basis of the evaluation are as follows:

Type of Supplier	Evaluator	Frequency	Basis of Evaluation
Supplier *(Goods provider)*	▪ On-site Project Team ▪ Procurement	▪ Quarterly	▪ Quality Issues and Concerns ▪ Material Quality Report ▪ Delivery Time (Lead Time)

NOTE 2: [Evaluate Contractor]

1. Evaluate supplier based on the following:
   a. Material Quality Report
   b. Delivery Time
2. Establish and use Material Quality Report monitoring, evaluation, and re-evaluation criteria for external providers based on their capacity to provide processes and goods in compliance with safety, quality, timely delivery and cost-efficient requirements.
3. Include a review of the goods and supplier that the company prefers to guarantee that the materials offered meets all standards. Control Goos and suppliers by focusing on the prevention of nonconformities in goods and suppliers' delivery.
4. Evaluate the supplier based on the monitoring of issues and concerns that arise during the receiving of materials on-site (e.g., non-compliance with planned timeline, non-compliance with the specifications, delays in deliverables, etc.)
5. Check the ability of externally delivered materials to help the company accomplish its overall goals against the initial specifications.

NOTE 3: [Discuss Evaluation Results with the Supplier]

1. Copy of Evaluation results are issued to Supplier on their company email address, and improvement measures are addressed with them in a sit-down discussion. The outcome of the evaluation could be "Passed" or "Failed".

2. A supplier may fail the evaluation if there are disparities in the service and the supplier does not respond to provided remedies to correct those inconsistencies.

No. of Failure	Company's Action
1st failure in performance	Written warning to the supplier about the result of the evaluation
2nd failure in performance	Second written warning to the supplier that a repeat failure or nonconformance will result in delisting from the Accredited List of Suppliers. Require supplier to submit an Action plan with specific timeframe.
3rd failure in performance	Automatically delisting from the Accredited List of Suppliers. No further should be placed.

3. If the supplier is delisted, they will be notified in writing as soon as possible, with an account of the problem and potential solutions.
4. Supplier was delisted from the list due to noncompliance with goods requirements. However, improvement measures must be agreed upon and implemented in order to address the nonconformity.

RECORDS GENERATED:

1. (SEF) Supplier Evaluation Form
2. Recommendation Letter

REFERENCES:

1. Material Quality Report